# CPF LIFE’s payout rate includes capital

## Key message

**Separate the annual cash payout ratio from the return of the complete cash-flow stream.**

## Talking points

- The official Standard Plan reference is S$220,400 at age 55, an estimated S$330,100 at 65, and S$1,780 per month. It describes a male member turning 55 in 2026.
- Annual cash is S$1,780 × 12 = S$21,360. Dividing by the age-65 premium gives 6.470766%. The payout includes capital recovery.
- Household IRR includes the refund at death. It stays at 0% while cumulative payouts plus the refund equal the premium. Later survival produces positive IRRs.

## How to explain the visual

Read the large 6.47% as an income ratio. Then read the three figures on the right as conditional annualised returns from age 65. They measure different things, so they should not be presented as competing quoted interest rates.

## Assumptions and caveats

- Assume a single S$330,100 premium, fixed monthly S$1,780 payouts, first payment one month after 65 and no later inflows. Actual CPF quotations and payout adjustments can differ.
- CPF LIFE premiums earn interest and pooling supports the payout from the start. The 0% cash-flow result does not mean that CPF stops earning interest. Lifetime coverage begins on joining.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

S07. CPF Board: How risk-pooling supports lifelong CPF LIFE payouts. Published 6 Sep 2024; updated 23 Apr 2026.

STD-XLSX. Colour & Tagging Standard: Market Colour Tag Master V1.2 Merged. 5 November 2026.

STD-PDF. Colour & Tagging Standard: Colour Tag Visual Design Guide V1.2 Merged. 5 November 2026.

# Payouts initially replace the premium refund

## Key message

**Before the premium is exhausted, income plus refund equals the original premium in nominal dollars.**

## Talking points

- Let P be the premium and C be cumulative payouts. The remaining refund B is max(P − C, 0). Therefore C + B equals P while B is positive.
- At 80, 180 payments total S$320,400. S$330,100 less S$320,400 leaves S$9,700. Combined nominal cash delivered is S$330,100.
- After the premium is exhausted, the refund stays at zero while cumulative payouts continue to rise.

## How to explain the visual

The green portion grows as monthly income is paid. The grey portion shrinks as the refund falls. The first three stacked bars have the same total. The small age-80 grey amount is labelled in the text beside the chart.

## Assumptions and caveats

- This is the premium refund for the modelled Standard Plan only. Other CPF balances and outside assets could also pass to beneficiaries.
- A death refund is not a liquid surrender value. Adding historical payouts to a refund measures cash delivered over time, not remaining net worth. The Basic Plan requires a different account model.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S03. CPF Board: How does the CPF LIFE Standard Plan work?. 5 Sep 2025.

S05. CPF Board: How does the CPF LIFE Basic Plan work?. 26 Aug 2026.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

# The starting date changes the return

## Key message

**The same policy can have a positive return from age 55 and a zero nominal return from age 65 at the same death age.**

## Talking points

- The age-55 cash-flow series begins with minus S$220,400 and then waits ten years before payouts. It includes the earlier RA accumulation.
- The age-65 series begins with minus S$330,100. At age 80 it returns that amount through income and refund, producing 0% household IRR.
- At age 80 the full-period household IRR is 2.330685%. At 90 the age-65 and age-55 rates are 4.287164% and 4.206327%, respectively. The different waiting periods explain the crossover.

## How to explain the visual

Use the solid jade line for the payout-period clock and the dashed jade line for the full-period clock. Both describe CPF cash flows, so line patterns distinguish them. Read the horizontal axis as an assumed age at death, not the calendar year or rates credited to the account.

## Assumptions and caveats

- The monthly IRR is annualised as (1+i)^12 − 1. The premium transfer at 65 is internal to the age-55 model and is not subtracted a second time.
- Both lines include the refund. An income-only calculation is lower before the refund is exhausted. No mortality weighting or reinvestment return is assumed.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

S10. CPF Board: How is my CPF interest computed and credited?. 15 Sep 2026.

# The same income can exhaust a portfolio

## Key message

**Comparing the same withdrawals reveals a trade-off between accessible capital and protection against outliving the income stream.**

## Talking points

- Each scenario begins with S$330,100 at age 65, credits the monthly equivalent of a constant net annual return, then withdraws S$1,780.
- The first payment with a shortfall occurs at month 186 for 0%, month 234 for 2.5%, and month 286 for 4%. The final portfolio payment is partial; the balance never becomes negative.
- A smooth 6.666166% net annual return would be needed to pay S$1,780 monthly forever while maintaining S$330,100 of nominal principal. That is a mathematical hurdle, not a product offer.

## How to explain the visual

Trace the remaining liquid portfolio capital to zero. Line patterns distinguish the scenarios in greyscale. The chart does not plot CPF's death refund as though it were a liquid investment account.

## Assumptions and caveats

- The 0%, 2.5% and 4% rates are assumptions, not executable quotes or forecasts. The model ignores volatility and sequence risk, so real investment outcomes may differ substantially.
- The illustration does not imply that restricted CPF savings can be freely withdrawn to buy the portfolio. CPF LIFE pays for life, but illustrated payout amounts may be reviewed.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S03. CPF Board: How does the CPF LIFE Standard Plan work?. 5 Sep 2025.

S11. CPF Board: When and why CPF LIFE payouts may be adjusted. 23 Sep 2025.

S13. CPF Board: Exemption from CPF LIFE. 5 Jan 2026.

# Income, access and heirs all matter

## Key message

**Choose a funding mix for the household’s needs after comparing like-for-like cash flows and risks.**

## Talking points

- Begin with the gap between essential SGD spending and existing dependable income. CPF LIFE can address lifetime income, while other assets may address liquidity, inflation and estate objectives.
- For a private annuity, separate guaranteed benefits from participating bonuses. Use death benefits for a death scenario and surrender value for a living liquidation scenario; never add both.
- For bonds or a portfolio, include purchase cost, fees, actual coupon dates, reinvestment, market value, FX where relevant and any withdrawal shortfall.

## How to explain the visual

Read across each row. The rows compare economic features rather than awarding a winner. A higher cash payout can coexist with lower access to principal or a smaller inheritance.

## Assumptions and caveats

- No current personalised Basic or Escalating quote, age-70 premium, or named private-product illustration was supplied. Those gaps prevent a current numerical product ranking.
- CPF LIFE exemption has conditions. CPF does not accept ordinary bonds and endowments as qualifying substitutes for the required lifelong annuity or pension.
- Level income loses purchasing power. Portfolio returns can disappoint, and private annuity guarantees and surrender terms vary.

## Sources

S03. CPF Board: How does the CPF LIFE Standard Plan work?. 5 Sep 2025.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

S13. CPF Board: Exemption from CPF LIFE. 5 Jan 2026.

S15. MoneySense: Understanding annuities. 4 Nov 2026.

S16. Monetary Authority of Singapore: SGS bonds, T-bills and Savings Bonds: products for individuals. 28 Jul 2026.

# CPF savings grow and support income for life

## Key message

**Think of the journey as saving first, drawing income next, and keeping income for as long as life lasts.**

## Talking points

- RA means Retirement Account. CPF's example starts with S$220,400 at 55 and estimates S$330,100 by 65.
- At 65, the Standard Plan uses the money as an insurance premium and begins monthly income. The illustrated payout is S$1,780.
- The remaining premium refund eventually reaches zero, but monthly income continues while the member lives.

## How to explain the visual

Walk from left to right along the timeline. The ages mark changes in the accounting of the money. They do not mean that insurance protection begins only at the final marker.

## Assumptions and caveats

- The age-80-years-6-months marker is calculated for this one quotation and timing assumption, not a rule for everyone.
- CPF provides lifelong duration. Actual payouts can be adjusted. The published age-65 capital and payout are estimates for a male reference case, not a personalised offer.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S03. CPF Board: How does the CPF LIFE Standard Plan work?. 5 Sep 2025.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

S11. CPF Board: When and why CPF LIFE payouts may be adjusted. 23 Sep 2025.

STD-XLSX. Colour & Tagging Standard: Market Colour Tag Master V1.2 Merged. 5 November 2026.

STD-PDF. Colour & Tagging Standard: Colour Tag Visual Design Guide V1.2 Merged. 5 November 2026.

# By 80, most of the premium has become income

## Key message

**Early monthly payments reduce the amount left as a premium refund, so they should not all be described as interest earned.**

## Talking points

- The top bar is the starting premium of S$330,100. The bottom bar shows the same nominal amount divided into past income and the remaining refund.
- Fifteen years contain 180 monthly payments in this model. 180 × S$1,780 = S$320,400. That leaves S$9,700 of premium refund.
- Bequest here means the premium amount beneficiaries receive on death. Other CPF savings and outside assets are separate.

## How to explain the visual

The bars use the same scale. Point to the large green portion as income already delivered and the small grey segment as the refund remaining. Add the two using the equation below.

## Assumptions and caveats

- The refund is not a bank balance the member can freely take out while alive. Income already spent is also not money still available to heirs.
- CPF premiums continue earning interest. The scheme pools interest and includes it when setting monthly payouts, even though the refund formula falls as payouts are received.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

S07. CPF Board: How risk-pooling supports lifelong CPF LIFE payouts. Published 6 Sep 2024; updated 23 Apr 2026.

# Income continues after the refund ends

## Key message

**The most distinctive benefit is continuing income when the member lives a long time.**

## Talking points

- The refund reaches zero after payment 186 in this example. The monthly income does not stop at that point.
- At 90 the member has received 300 payments, or S$534,000. That is S$203,900 more than the age-65 premium.
- CPF pools interest to support lifetime payouts. This is how it shares the uncertainty over how long different members will live.

## How to explain the visual

Follow the income line beyond the point where the refund becomes zero. The line expresses lifelong duration, not a promise that every future monthly dollar amount is fixed. The timeline is schematic rather than an exact scale.

## Assumptions and caveats

- Lifetime coverage exists from the beginning. It does not suddenly start after premium recovery.
- CPF reviews mortality and interest-rate experience, with possible payout adjustments. S$1,780 is held constant only to explain the arithmetic.
- Cumulative income is not a current account balance and may already have paid living expenses.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S03. CPF Board: How does the CPF LIFE Standard Plan work?. 5 Sep 2025.

S07. CPF Board: How risk-pooling supports lifelong CPF LIFE payouts. Published 6 Sep 2024; updated 23 Apr 2026.

S11. CPF Board: When and why CPF LIFE payouts may be adjusted. 23 Sep 2025.

S18. CPF Board: Why interest on CPF LIFE premiums is not paid to beneficiaries. 28 Dec 2021.

# Payout rates and investment returns differ

## Key message

**A 6.47% income ratio does not mean that the whole investment earns 6.47% a year.**

## Talking points

- The left figure is simple: S$21,360 of annual income divided by S$330,100. Some of that income replaces premium capital.
- The bars use internal rate of return, or IRR. In plain English, it is the annual return that matches the amount invested and the timing of the money received.
- Living longer adds more payments, so this example gives 2.72% at 85, 4.29% at 90 and 5.16% at 95 from the age-65 starting point.

## How to explain the visual

Read the left side as a cash-income ratio. Read each right-hand bar as a separate lifespan scenario. Do not add the bars or average them to claim an expected return.

## Assumptions and caveats

- These figures use fixed payouts and ignore inflation. At 85, S$1,780 has less purchasing power than it had at 65 if prices have risen.
- The age-55 investment return is different because it includes the ten years of RA accumulation. The death-age return is not a measure of all the value of insurance.

## Sources

S02. CPF Board: How much CPF payouts can I get every month?. 16 Jun 2026.

S06. CPF Board: CPF LIFE savings and beneficiaries on death. 9 Jul 2026.

S10. CPF Board: How is my CPF interest computed and credited?. 15 Sep 2026.

# Each retirement need needs a funding plan

## Key message

**Use each product for the need it can reliably meet, and compare the complete cash flows before deciding.**

## Talking points

- First work out the essential monthly spending that must continue for life. Then identify how much dependable income is already available.
- Keep an explicit pool of accessible money for emergencies and planned costs. A refund paid on death cannot pay a living member’s unexpected bill.
- Consider inflation and what the household wants to leave to family. A level payout, a market portfolio and a private annuity have different trade-offs.

## How to explain the visual

Read the needs on the left and the planning response on the right. These are complementary jobs. The diagram is a planning framework, not a recommendation to buy a named product or commit a particular amount.

## Assumptions and caveats

- Obtain a personalised CPF quote and current alternatives. Separate guaranteed benefits from projected bonuses and check fees, withdrawal terms and currency.
- A portfolio can lose value or run out. A fixed income can lose purchasing power. A private annuity can have restrictive surrender terms.
- CPF LIFE exemption is conditional, and ordinary bonds or endowments do not automatically allow withdrawal of CPF retirement savings.

## Sources

S03. CPF Board: How does the CPF LIFE Standard Plan work?. 5 Sep 2025.

S04. CPF Board: How does the CPF LIFE Escalating Plan work?. 5 Sep 2025.

S13. CPF Board: Exemption from CPF LIFE. 5 Jan 2026.

S15. MoneySense: Understanding annuities. 4 Nov 2026.

S16. Monetary Authority of Singapore: SGS bonds, T-bills and Savings Bonds: products for individuals. 28 Jul 2026.